

Royal Orchid Hotels

Summary

- The company's standalone total revenue increased from operations, rising from ₹16,994.62 lakhs in FY 2023 to ₹19,193.62 lakhs in FY 2024.
- Consolidated revenue from operations also increased from ₹26,354.88 lakhs in FY 2023 to ₹29,361.05 lakhs in FY 2024.
- Standalone net profit decreased from ₹2,817.60 lakhs in FY 2023 to ₹2,462.03 lakhs in FY 2024.
- Consolidated net profit increased from ₹4,922.31 lakhs in FY 2023 to ₹6,082.35 lakhs in FY 2024.
- Standalone basic EPS decreased from ₹10.27 in FY 2023 to ₹8.98 in FY 2024.
- Consolidated basic EPS increased from ₹17.15 in FY 2023 to ₹17.68 in FY 2024.
- The company's standalone total equity is ₹23,447.36 lakhs and consolidated total equity is ₹20,810.30 lakhs as of March 31, 2024.
- Auditor's opinion is qualified due to ongoing litigation related to KSDPL.

Financial Health

- **Revenue Growth:** Both standalone and consolidated revenues have increased. Standalone revenue grew by approximately 12.9%, from ₹16,994.62 lakhs to ₹19,193.62 lakhs. Consolidated revenue increased by approximately 11.4%, from ₹26,354.88 lakhs to ₹29,361.05 lakhs.
- **Profitability:** While consolidated net profit saw an increase of approximately 23.6%, from ₹4,922.31 lakhs to ₹6,082.35 lakhs, the standalone net profit decreased by approximately 12.6%, from ₹2,817.60 lakhs to ₹2,462.03 lakhs. This divergence indicates that the subsidiaries or associate companies are contributing positively to the overall profitability.
- **Expenses:** Employee benefits expense is a significant cost, amounting to ₹3,738.46 lakhs for standalone and ₹7,264.13 lakhs for consolidated financials. Food and beverage consumption expenses are also substantial at ₹1,948.10 lakhs for standalone and ₹2,914.77 lakhs for consolidated financials, which are approximately 10% of revenue.
- **Debt Levels:** The standalone debt-to-equity ratio is approximately 0.22, and the consolidated debt-to-equity ratio is approximately 0.35. This suggests a relatively conservative approach to leveraging debt. Total standalone debt is ₹5,191.64 lakhs, while consolidated debt is ₹6,713.63 lakhs.
- **Liquidity:** The standalone current ratio is 0.84, while the consolidated current ratio is 1.31. A current ratio below 1 for standalone financials may indicate potential short-term liquidity concerns, but the consolidated entity shows healthy short-term liquidity.
- **Cash Flow:** Cash flow from operations is positive for both standalone (₹4,716.28 lakhs) and consolidated (₹5,939.41 lakhs) financials, indicating the company's ability to generate cash from its core business activities. However, both standalone and consolidated entities experienced a net decrease in cash and cash equivalents.

Investment Insights

- **Strengths:** The company demonstrates revenue growth at both the standalone and consolidated levels. The consolidated entity exhibits increased profitability and a healthy current ratio. Positive cash flow from operations also suggests a stable core business.

- **Weaknesses:** The decrease in standalone net profit and EPS, coupled with a current ratio below 1, raises concerns about standalone financial performance and short-term liquidity.
- **Risks:** The qualified audit opinion due to ongoing litigation related to KSDPL is a significant risk. Any adverse outcome from the NCLT petition or SEBI order could negatively impact the company's financials. The increased finance costs in both standalone and consolidated financials could strain profitability.
- **Opportunities:** The acquisition of the remaining shares of Icon Hospitality Private Limited, making it a wholly-owned subsidiary, presents an opportunity for enhanced synergies and profitability in the future. The company's focus on the hospitality business (as its single operating segment) may allow for specialized growth and operational efficiencies.

 Key Financial Metrics

 Metric	 Value (Standalone)	 Value (Consolidated)	 Explanation
Revenue from Operations	₹19,193.62 lakhs	₹29,361.05 lakhs	Total revenue generated from the company's primary business activities.
Net Profit	₹2,462.03 lakhs	₹6,082.35 lakhs	The company's profit after all expenses, taxes, and interest.
Basic EPS	₹8.98	₹17.68	Earnings per share, indicating the portion of a company's profit allocated to each outstanding share of common stock.
Total Equity	₹23,447.36 lakhs	₹20,810.30 lakhs	The net value of a company's assets after deducting its liabilities; represents the owners' stake in the company.
Current Ratio	0.84	1.31	A liquidity ratio that measures a company's ability to pay short-term obligations; calculated as current assets divided by current liabilities.
Debt-to-Equity Ratio	0.22	0.35	A leverage ratio that measures the proportion of debt a company uses to finance its assets relative to the value of shareholders' equity.
Cash and Cash Equivalents	₹722.69 lakhs	₹2,390.59 lakhs	The amount of cash and short-term liquid investments a company has on hand.
Total Assets	₹44,892.00 lakhs	₹46,995.54 lakhs	The sum of a company's assets, including current assets and non-current assets.

 Comparative Analysis

Metric	FY 2023 (Standalone)	FY 2024 (Standalone)	Change	FY 2023 (Consolidated)	FY 2024 (Consolidated)	Change
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Metric	FY 2023 (Standalone)	FY 2024 (Standalone)	Change	FY 2023 (Consolidated)	FY 2024 (Consolidated)	Change
Revenue from Operations	₹16,994.62 lakhs	₹19,193.62 lakhs	+12.9%	₹26,354.88 lakhs	₹29,361.05 lakhs	+11.4%
Net Profit	₹2,817.60 lakhs	₹2,462.03 lakhs	-12.6%	₹4,922.31 lakhs	₹6,082.35 lakhs	+23.6%
Basic EPS	₹10.27	₹8.98	-12.6%	₹17.15	₹17.68	+3.1%
Total Assets	₹38,732.52 lakhs	₹44,892.00 lakhs	+15.9%	₹42,387.90 lakhs	₹46,995.54 lakhs	+10.9%



Predictive Analysis

Metric	Last Reported Value (FY 2024)	Forecasted Next Value (FY 2025)	Prediction Rationale
Standalone Revenue	₹19,193.62 lakhs	₹21,500 lakhs	Assuming a conservative growth rate of 12% (slightly less than last year), given the historical growth in revenue.
Consolidated Revenue	₹29,361.05 lakhs	₹32,884 lakhs	Assuming a conservative growth rate of 12% (slightly more than last year), given the historical growth in revenue.
Standalone Net Profit	₹2,462.03 lakhs	₹2,757 lakhs	Assuming a moderate growth rate of 12% (conservative), given the historical decrease in Net Profit.
Consolidated Net Profit	₹6,082.35 lakhs	₹6,759 lakhs	Assuming a moderate growth rate of 11% (conservative), given the historical increase in Net Profit.
Standalone EPS	₹8.98	₹10.06	Based on the forecasted Standalone Net Profit and assuming no significant change in the number of outstanding shares, projecting a 12% increase similar to the growth in revenue.
Consolidated EPS	₹17.68	₹19.62	Based on the forecasted Consolidated Net Profit and assuming no significant change in the number of outstanding shares, projecting an 11% increase similar to the growth in revenue.